

Category F: Distributed-Ledger & Public Procedural Strategies

Innovation Partnership Procurement Procedure

Innovation Partnership Procurement is a public procurement method used when an organization needs a new or significantly improved product, service, or solution that is not available on the market. Innovation Partnership in the New Public Procurement Regime by Andhov (2017), shows how this procedure connects the development of innovation with its eventual purchase, while highlighting important procedural and contractual challenges.

For example, a government hospital needs an AI-based patient monitoring system that existing products cannot sufficiently provide. It selects a suitable technology company through a competitive procurement process and establishes a partnership to research, develop, and test the system. The project progresses through agreed stages, with targets, payments, and performance requirements. If the solution meets the agreed performance levels and maximum costs, the hospital can purchase and implement it under the partnership.

This approach gives public organizations to get innovative solutions through a coordinated development and purchasing process. It can reduce the need for a separate procurement method after development. However, clear contractual terms, transparent selection criteria, intellectual property protection, and cost controls are essential to manage risks.